2024 Maintenance Increase — Board Memo dated December 4, 2024

Effective January 1, 2025 · Rate: $19.38 → $19.65 per share · Increase: +$0.27/share/year · +$22,900 annually · 1.4%

A modest 1.4% increase based on the first nine months of 2024 operating expenses and a forecast of 2025 costs, including increased real estate taxes, insurance (+$15,500 projected), labor, and utilities.

Context:

- The 2024 audited annual results show total expenses of $1,910,958 including a one-time fire and water damage charge of $228,074. Excluding that non-recurring item, adjusted operating expenses were $1,682,884.
- The building ran a deficit of $64,287 in 2024 on a net income basis — the first deficit in 18 years — primarily driven by the fire and water damage event and elevated repairs costs.
- Total liquidity at year-end 2024 stands at $1,976,793 — more than 2.5 times the Westchester “solid adequate” benchmark of $5,000 per unit.
- This memo does not include specific projected dollar increases by category, making independent verification against the prior year's 2023 memo approach more difficult.

Original board memo follows on the next page.

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PROPERTY MANAGEMENT REAL ESTATE SALES FINANCIAL MANAGEMENT

December 4, 2024

To: Shareholders of Riveredge Owners Corp.

After careful consideration, the Board of Directors voted to approve the following action:

Monthly Maintenance – Increase of 1.4% effective January 1, 2025.
Laundry Room – Increase to $1.50 a load effective January 1, 2025.

Increase in Monthly Maintenance Carrying Charges

The decision to increase the monthly maintenance carrying charges is based on the cooperative's actual operating expenses for the first nine months of 2024 and a forecast of future expenses in 2025. These operating expenses will include increased real estate taxes, insurance costs ($15,500 increase), labor related costs and utilities.

The Board understands that no one enjoys these increases, but they are essential at this time. As always, the Board will monitor closely every cost incurred and assess the fiscal status of the co-op as we move forward. The Board asks for your continued support as we plan for the challenges ahead.

Shareholders who use on-line paying for their maintenance and parking must notify their banks of the changes.

Very truly yours,

WESTCHESTER PROPERTY MANAGEMENT GROUP INC.

Laurette R. Valdez
Senior Property Management